

Ultimate Stock Market Reference Guide

Your comprehensive and extremely detailed guide to mastering the financial markets.

1. Essential Market Terminology

Bull Market: A prolonged period in which investment prices rise faster than their historical average. Driven by economic recovery, low unemployment, and investor optimism.

Bear Market: A prolonged period in which investment prices fall, typically defined as a 20% or more drop from recent highs. Driven by fear, economic contraction, or rising inflation.

Blue Chip Stocks: Huge companies with an excellent reputation. They are typically large, well-established, and financially sound with a history of reliable earnings and often pay dividends.

Dividends: A portion of a company's earnings that is paid to shareholders, typically on a quarterly basis. It's a key source of passive income for long-term investors.

Market Capitalization: The total dollar value of all outstanding shares, calculated by multiplying outstanding shares by current price. Categorized into Mega, Large, Mid, Small, and Micro cap.

Volatility: The rate at which the price of a security increases or decreases for a given set of returns. Measured by standard deviation or the VIX index. High volatility means high risk but high potential reward.

Liquidity: How easily you can buy or sell an asset without affecting its price. High volume stocks like Apple or Reliance have massive liquidity. Penny stocks typically have poor liquidity.

Short Selling: Borrowing shares from a broker and selling them in the open market, hoping to buy them back later at a lower price to return to the broker, pocketing the difference.

2. Types of Trading Orders & Execution

Market Order: An order to buy or sell a stock immediately at the best available current price. Execution is guaranteed, but the price is not.

Limit Order: An order to buy or sell a stock at a specific price or better. It guarantees price but not execution (if the stock never reaches your price, the order won't fill).

Stop-Loss Order: An order placed with a broker to buy or sell once the stock reaches a certain price. Crucial for limiting an investor's maximum potential loss on a trade.

Stop-Limit Order: Combines the features of a stop order and a limit order. Once the stop price is triggered, it becomes a limit order instead of a market order.

Trailing Stop: A stop order that is set at a percentage or specific dollar amount away from a

security's current market price. As the price moves favorably, the stop follows it, locking in profits.

3. Crucial Financial Ratios & Fundamental Analysis

P/E Ratio (Price-to-Earnings): Market Value per Share / Earnings per Share (EPS). The most popular metric to determine if a stock is overvalued or undervalued relative to its peers.

Forward P/E: Similar to P/E, but uses projected future earnings instead of trailing past earnings. Essential for valuing fast-growing tech companies.

PEG Ratio: P/E Ratio / Earnings Growth Rate. A PEG ratio under 1.0 is traditionally considered a 'cheap' valuation for a growing company.

P/B Ratio (Price-to-Book): Market Price per Share / Book Value per Share. Compares a firm's market capitalization to its net asset value. Highly used for valuing banks and financial institutions.

Debt-to-Equity Ratio: Total Liabilities / Shareholders' Equity. Evaluates a company's financial leverage and solvency. A very high number indicates a high risk of bankruptcy during economic downturns.

Return on Equity (ROE): Net Income / Shareholders' Equity. Measures financial performance and profitability. Shows how efficiently management is using shareholder cash to generate growth.

Free Cash Flow (FCF): Operating Cash Flow - Capital Expenditures. The actual cash a company generates after maintaining its asset base. It's what pays for dividends, buybacks, and acquisitions.

4. Masterclass: Candlestick Patterns

Bullish Reversal Patterns:

Hammer: Forms during a downtrend. It features a small body and a long lower wick (at least 2x the body length), showing buyers aggressively pushed prices back up from lows.

Bullish Engulfing: A two-candle pattern where a smaller red candle is completely engulfed by a massive green candle, signaling a powerful transfer of momentum to the buyers.

Morning Star: A three-candle setup: a long red candle, a small-bodied candle gapping down, and a long green candle closing past the midpoint of the first red candle.

Bearish Reversal Patterns:

Shooting Star: Forms in an uptrend. Features a small body and a long upper wick. Indicates buyers tried to push the price higher but sellers aggressively took control by the close.

Bearish Engulfing: A smaller green candle is completely overshadowed by a large red candle. A huge warning sign of an impending downtrend.

Evening Star: The bearish counterpart to the Morning Star. A long green candle, a small "star" gap up, followed by a severe red candle downwards.

Indecision Patterns:

Doji: Open and close prices are virtually identical, forming a cross. It represents extreme market indecision. A breakout from a Doji often defines the next trend.

Prepared exclusively for Advait Stock Academy Students